BUS7C2 Finance and Accounting for Business

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Lecture 7: Financial Statement of Companies

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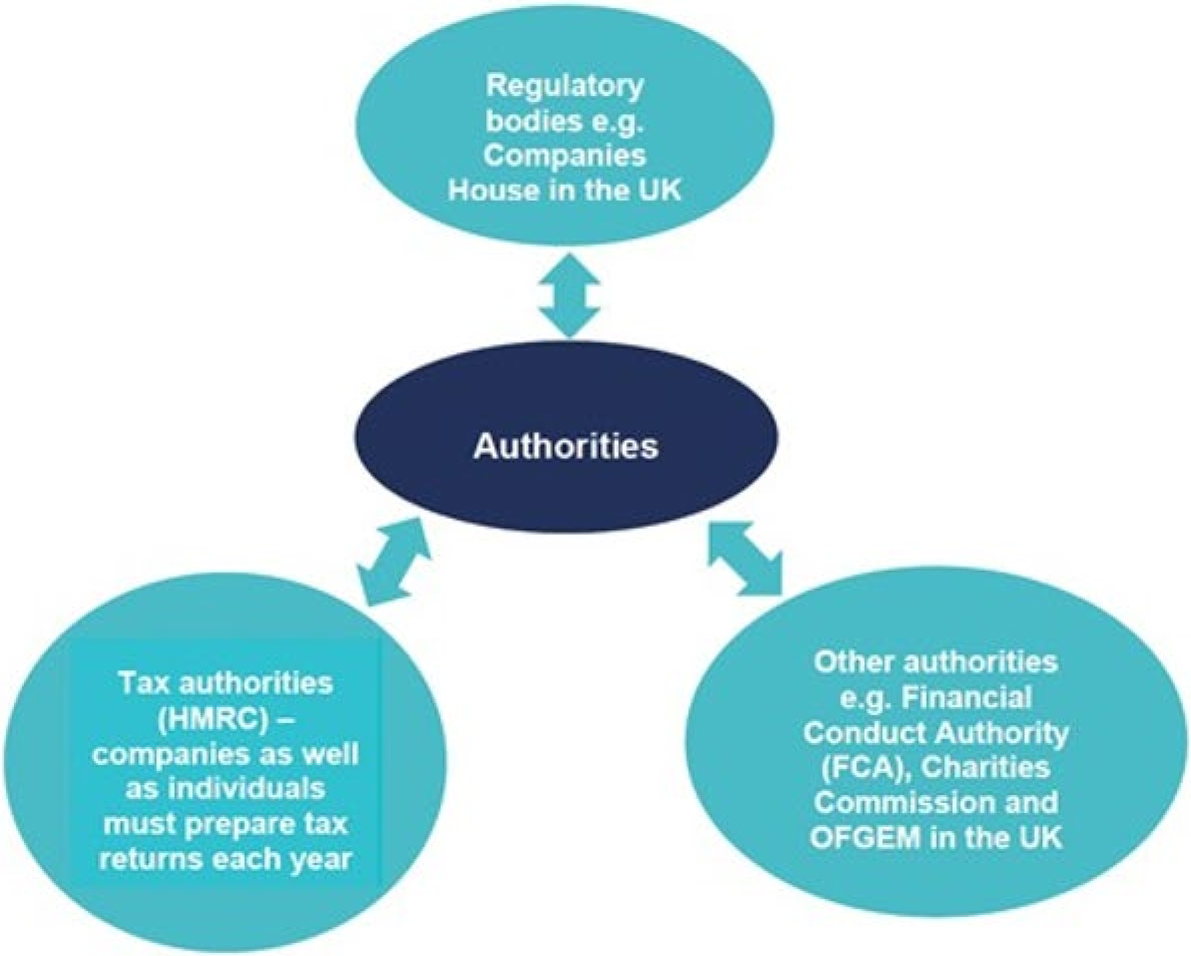
Learning Objective

At the end of this lecture; students will:

1. **Explain** the roles of key stakeholders in company financial reporting.
2. **Differentiate** between the primary financial statements mandated by IAS 1, justifying the distinct purpose of each
3. **Use** real company financial reports to identify key figures and explain how managers interpret them to support decisions.

The Legal Framework of Companies

Authorities to whom companies are accountable



Financial Statement of Companies

- Companies Act 2006
- FS must give a true and fair view
- Maintain proper accounting records
- Directors responsible for producing FS

Purpose of Financial Statements

- The **primary way** companies communicate financial information to external users
- Provide a **summary of performance** over a reporting period
- Show the **financial position** of the business at the end of that period

‘True and Fair’

The 'True and Fair View' Requirement

- UK financial statements must give a **true and fair view** under the **Companies Act 2006**
- Not precisely defined—but generally means:
  - **Truth** = factual accuracy (within materiality)
  - **Fairness** = objectivity and balance

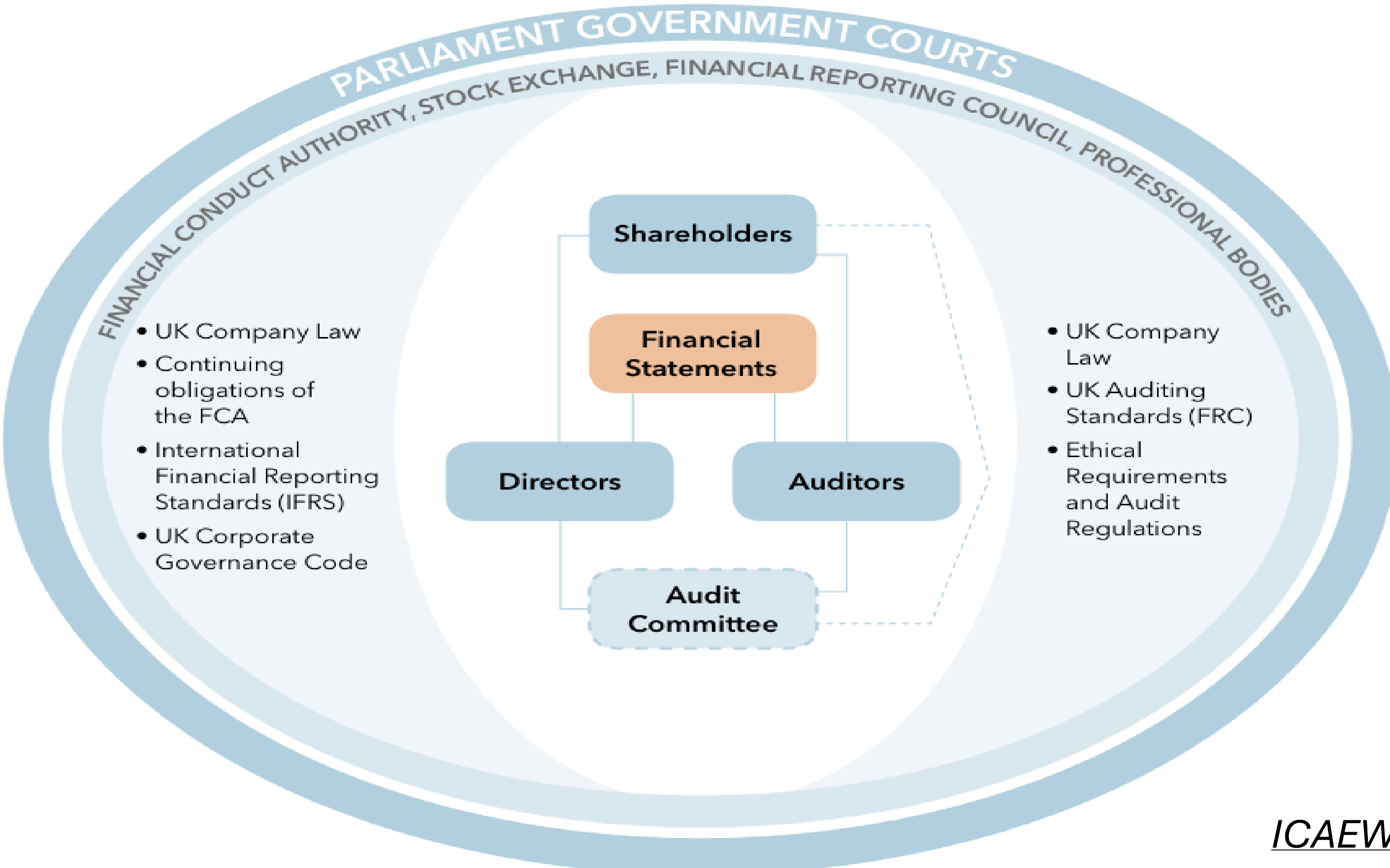
What It Involves (Practically):

- Follow **Accounting Standards** (rarely overridden)
- Comply with the **Companies Act 2006** and IAS 1
- Apply **general accounting principles** and **industry practices** when no specific rules exist

Financial Reporting: Who Does What?

The players: their rights and duties

The diagram below sets out how the various players within the financial reporting system interact.



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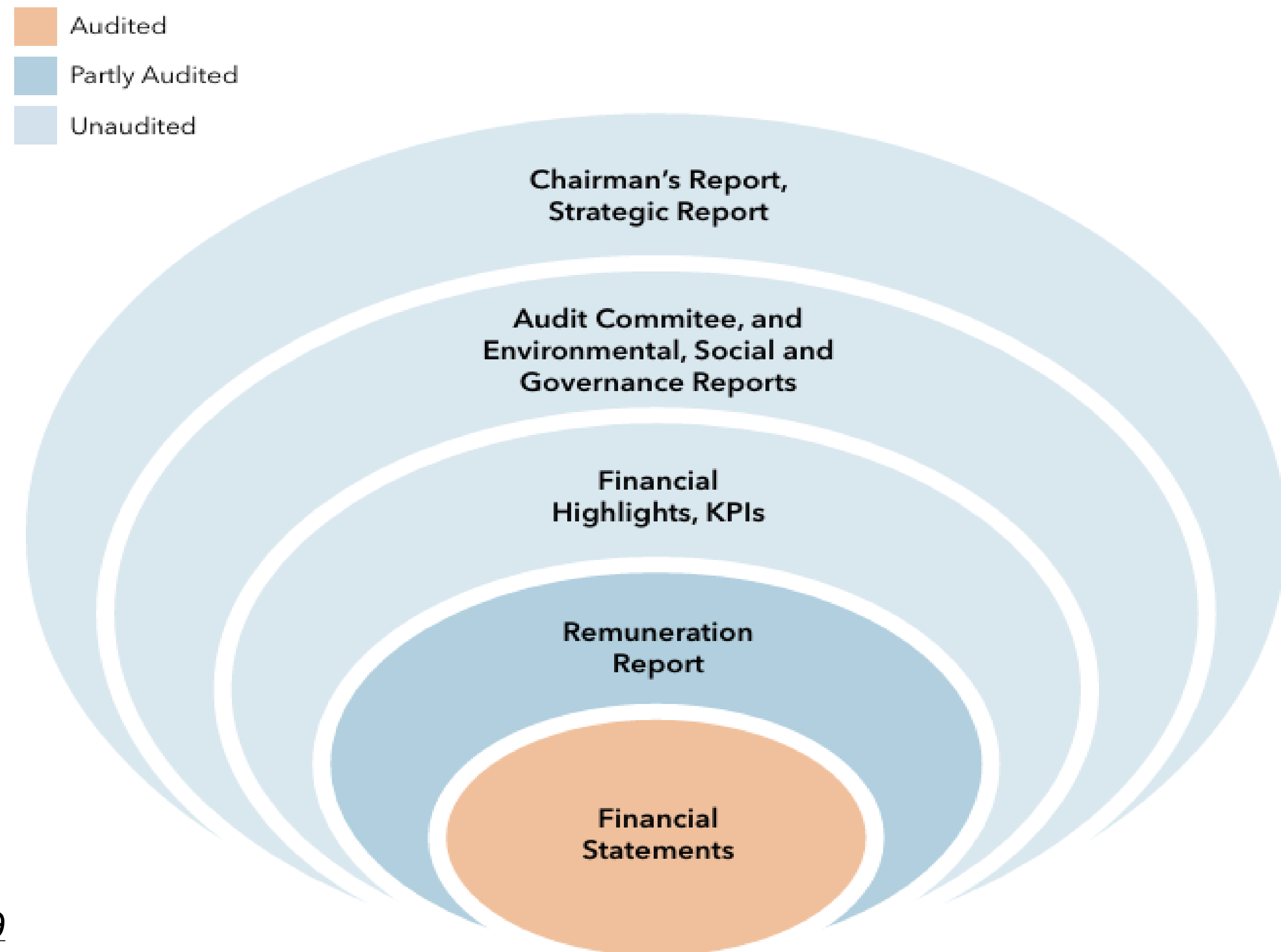
How The Players Interact

1. **Shareholders** appoint **directors** to serve on the board; the board appoints members of the **audit committee**.
2. The **audit committee** conducts a tendering process and makes recommendations to the board about the appointment of **auditors**.
3. **Directors** propose the appointment of **auditors** to **shareholders**; **shareholders** vote on whether to approve the appointment.
4. **Directors** prepare financial statements; **audit committees** monitor the integrity of financial information.
5. **Auditors** audit the financial statements and perform other procedures on other parts of the annual report.
6. **Auditors** report various matters about the audit to the **audit committee**.
7. **Auditors** report on the financial statements to **shareholders**.

Ultimately, the responsibility for financial reporting in the UK lies with Government, which lays down the legislative framework.

Company Annual Report

The annual report as a whole should be Fair, Balanced and Understandable



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Types of Company Capital

💼 Equity Shares

- Ownership of the business
- Voting rights & residual claim on profits
- No fixed dividend entitlement
- Called-up share capital appears on the balance sheet

Any premium over par value = Share Premium

Redeemable Preference Shares

- Fixed dividends with redemption rights
- Treated as noncurrent liabilities (debt capital)

Do not typically carry voting rights

📊 Irredeemable Preference Shares

- Fixed dividend rights
- Classified as part of equity capital

Ranked ahead of equity holders in payouts

🔒 Loan Stocks & Debentures

- Fixed interest borrowings with maturity dates
- Often secured on assets

Priority over unsecured creditors in liquidation

Components of Financial Statements – IAS 1

🧾 1. Statement of Financial Position

- Also called the *balance sheet*
- Shows assets, liabilities, and equity at the reporting date

📈 2. Statement of Profit or Loss and Other Comprehensive Income

- Can be one combined statement or split into two parts
  - *Profit or Loss*
  - *Other Comprehensive Income*
- Includes revenues, expenses, gains/losses

🔁 3. Statement of Changes in Equity

- Tracks movements in equity
- Includes share capital, retained earnings, reserves

💷 4. Statement of Cash Flows

- Breaks down cash flows into:
  - Operating
  - Investing
  - Financing
- Follows **IAS 7** guidance

📄 5. Notes to the Financial Statements

- Explains accounting policies
- Adds detail to figures in the main statements

Financial Position, Performance and Changes in Financial Position

🏢 1. Financial Position

Shows the company's:

- Resources it controls (assets)
- Financial structure (debt vs. equity)
- Liquidity & solvency
- Flexibility in adapting to change

👉 ***Helps users assess:***

- Future cash-generating ability
- How cash flows will be shared or claimed
- Financing needs and repayment ability

📄 ***Reported in*** *the Statement of Financial Position*

📈 2. Financial Performance

Profit = Income – Expenses

Useful for evaluating:

- Potential changes in economic resources
- Cash generation from current operations
- How efficiently new resources might be used

📝 ***Found in:***

- Statement of Profit or Loss & Other Comprehensive Income
- Statement of Changes in Equity

Financial Position, Performance and Changes in Financial Position

💷 3. Changes in Financial Position

Explains how cash moves through:

- Operating activities
- Investing activities
- Financing activities

💡 *Cash flow data avoids non-cash estimates (e.g. depreciation) and is seen as more reliable*

📊 *Reported in the Statement of Cash Flows*

📎 4. Notes & Supporting Schedules

- **Add extra context to the numbers**
- Include breakdowns (e.g. non-current asset details)
- Support users in interpreting the financial statements

Reporting Deadlines

⏰ **Financial Statement Filing Deadlines (UK)**

- Governed by the **Companies Act 2006**
- Deadlines vary by company type:

🔹 **Private Companies**

- Must file within **9 months** of year-end

🔹 **Public Companies**

- Must file within **6 months** of year-end

🔹 **Listed Companies** (regulated by the Financial Conduct Authority)

- Must file within **4 months** of year-end

NG **Nigeria**

Governed by the **Companies and Allied Matters Act (CAMA) 2020**
Deadlines vary by company type:
🔹 **Private & Public Companies**
Must file **annual returns** within **42 days** after the Annual General Meeting (AGM)
🔹 **Financial Statements**
Must be filed with the **Federal Inland Revenue Service (FIRS)** within **6 months** of year-end
📌 *Note:* Tax returns must also be filed within **5 months** of the accounting year-end

US **United States**

Governed by the **Securities and Exchange Commission (SEC)** for public companies
Deadlines vary by filer status:
🔹 **Large Accelerated Filers**
Must file within **60 days** of year-end
🔹 **Accelerated Filers**
Must file within **75 days**
🔹 **Non-Accelerated Filers**
Must file within **90 days**
📌 *Note:* Private companies follow different rules, often based on tax filing deadlines (e.g. April 15 for calendar-year corporations)

IN **India**

Governed by the **Companies Act 2013**
Deadlines vary by company type:
🔹 **All Companies**
Must hold AGM within **6 months** of year-end (by Sept 30 for March year-end)
🔹 **Filing with Registrar of Companies (RoC):**

- **AOC-4 (Financials):** within **30 days** of AGM
- **MGT-7 (Annual Return):** within **60 days** of AGM
  📌 *Effectively means financials are due by **end of October** for most companies*

Reporting Deadlines

BD Bangladesh

Governed by the **Companies Act 1994**

🔹 **All Companies**

Must hold AGM within **18 months** of incorporation and then **once every calendar year**

🔹 **Filing with Registrar of Joint Stock Companies (RJSC):**

- Financial statements must be filed **within 30 days** of AGM

  📌 *Tax returns are due by the **15th day of the 7th month** after year-end or by **15 September**, whichever is later*

KE Kenya

Governed by the **Companies Act 2015**

🔹 **All Companies**

Must file **annual returns** with the **Business Registration Service (BRS)** within **30 days** of AGM

🔹 **Financial Statements**

Must be filed with the **Kenya Revenue Authority (KRA)** within **6 months** of year-end

📌 *Late filing may attract penalties and interest*

IAS 1 formats

Statement of profit or loss for the reporting period

	£'000
Revenue	623,000
Cost of sales	(414,000)
Gross profit	209,000
Other income	26,000
Distribution costs	(73,000)
Administrative expenses	(32,000)
Finance income	5,000
Finance costs	(20,000)
Profit before tax	115,000
Income tax	(35,000)
Profit for period	80,000

Statement of financial position as at the reporting period end

	£	£
ASSETS		
Non-current assets		
Property, plant and equipment		400,000
Right-of-use asset		27,000
Goodwill		15,000
Intangible assets		110,000
		552,000
Current assets		
Inventories	51,000	
Trade and other receivables	102,000	
Prepayment	20,000	
Cash and cash equipments	33,000	
		206,000
Total assets		758,000
EQUITY AND LIABILITIES		
Equity		
Equity share capital: £1 equity shares		150,000
Preference share capital: 10% £1 irredeemable preference shares		90,000
Share premium		55,000
Other reserves		65,000
Retained earnings		161,000
Total equity		521,000
Non-current liabilities		
Long-term borrowings		100,000
Lease liability		58,000
Current liabilities		
Trade and other payables (including accruals)	31,000	
Deferred income	2,000	
Short-term borrowings	20,000	
Lease liability	5,000	
Provisions	10,000	
Income tax payable	11,000	
		79,000
Total equity and liabilities		758,000

Statement of changes in equity for the reporting period

	Share capital £	Share premium £	Retained earnings £	Other reserves £	Total £
Balance as at 1 May 20X8	100,000	60,000	86,700	12,000	12,000
Issue of share capital	20,000*	10,000	86,700		30,000
Dividends			(20,000)**		(20,000)
Profit/(loss) for the year			55,700		55,700
Balance as at 30 April 20X9	120,000	70,000	122,400	12,000	324,400

Watch: What is Financial Reporting?

Watch: How Managers Should Read Financial Statements

https://hbr.org/video/2235506882001/how-managers-should-read-financial-statements

Class Exercise: *Review of Deliveroo Plc Financial Statement*

https://dpd-12774-s3.s3.eu-west-2.amazonaws.com/assets/6717/4241/5498/Deliveroo_2024_Annual_Report_-_Interactive.pdf

Thank you, very much!

Any questions?

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